

Inflation & Monetary Policy

CPI/WPI, inflation types, RBI/MPC tools and transmission.

Portion focus ~85% · Topic: econ-basics

PYQ themes: CPI/WPI · MPC · Repo · Inflation types · Transmission

Why this portion (PYQ lens)

Portion chance ~85%. Yearly core; parent econ-basics ~85%.

Years appeared (synthesis): 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025

Why UPSC asks this

Definitions + tool effects produce conceptual MCQs.

Syllabus framing

Portion chance ~85%. Yearly core; parent econ-basics ~85%. This portion sits inside econ-basics and centres on inflation measurement and monetary policy. Definitions + tool effects produce conceptual MCQs.

Recurring PYQ angles: CPI/WPI, MPC, Repo, Inflation types, Transmission. Approximate appearance years in the 2016-2025 educational synthesis: 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025. Use the chance percentage only to sequence study hours - it is not an official prediction.

Core map of inflation measurement and monetary policy

Inflation: Sustained rise in general price level. CPI: Consumer basket; policy-relevant in MPC era.

WPI: Wholesale basket - comparative asks. Headline vs core: Core excludes volatile food/fuel analytically.

Hold this core map as your elimination spine before memorising peripheral CA overlays.

Core concepts and definitions

Demand-pull vs cost-push: Demand excess vs input shocks. Stagflation: Low growth + high inflation.

MPC: Sets policy repo under flexible inflation targeting. Repo rate: Liquidity injection rate - hike cools demand.

Institutions, processes and mechanisms

Absorption tools: Reverse repo/SDF-era tools evolve. CRR/SLR: Quantum tools on lendable resources.

OMO: Buy/sell G-secs for liquidity. Transmission: Imperfect pass-through to lending rates.

India angle and applied examples

Real vs nominal: Inflation-adjusted thinking. Inflation targeting: Target band anchors expectations.

Food inflation: Supply shocks complicate pure monetary stories. Base effect: Distorts YoY reads.

Comparisons, linkages and discriminators

Disinflation vs deflation: Slowing inflation vs falling prices. FX channel: Stance interacts with capital flows.

Fiscal dominance risk: Fiscal pressure complicates monetary narrative. Prefer concepts: Over memorising yesterday's print.

Inflation measurement and types

Inflation is a sustained rise in the general price level - not a one-item spike. CPI tracks a consumer basket and is policy-relevant in the MPC era; WPI tracks a wholesale basket. Headline versus core distinguishes volatile food/fuel components analytically. Demand-pull versus cost-push separates excess demand stories from input-shock stories; stagflation pairs low growth with high inflation.

Disinflation is slowing inflation; deflation is falling prices - do not swap them. Base effects can distort year-on-year reads. Prefer concepts over memorising yesterday's print.

MPC tools and transmission

The Monetary Policy Committee sets the policy repo rate under flexible inflation targeting. A repo hike aims to cool demand; CRR/SLR and open-market operations adjust lendable funds and liquidity; communication anchors expectations. Transmission to lending rates is imperfect and lagged - so options promising instant price cuts after a hike are weak.

Food inflation and supply shocks complicate pure monetary narratives. Fiscal dominance risk describes fiscal pressure complicating monetary policy. Revise India's current inflation target band from official RBI materials before the exam.

India angle

Revise current inflation target band from RBI materials before exam.

Question patterns and exam spine

Matching lists and multi-statement questions on inflation measurement and monetary policy.

Revision spine: Definitions -> table -> India -> traps for inflation measurement and monetary policy.

Eliminate anachronisms and category errors first, then test remaining options against table rows and must-remember triggers.

Trap watch-list (specific)

Avoid: WPI=CPI baskets. Avoid: One item spike = inflation. Avoid: Disinflation=deflation. Avoid: Instant price cut after repo hike.

Tools -> intent

Tool | When tightened

Repo hike -- Cool demand

CRR hike -- Less lendable funds

OMO sales -- Suck liquidity

Communication -- Anchor expectations

Common traps

x WPI=CPI baskets

x One item spike = inflation

x Disinflation=deflation

x Instant price cut after repo hike

Must remember

- CPI vs WPI
- MPC/repo
- Demand-pull vs cost-push
- Disinflation != deflation
- Transmission lag

Quick revision checklist

- [] Reproduce table
- [] 5 must-remembers
- [] 3 traps
- [] India anchor
- [] 10 MCQs

Educational prioritisation heuristic - not an official UPSC prediction. (c) UPSC IAS Study Hub original notes.